loans, the severity of the crisis resulted in a suspension of imports, fuel shortages ,and an inability to pay government salaries. India stepped in with a sizeable financial package, worth over $4 billion. [52] For India, a bilateral financial assistance package of this scale was unprecedented. As part of ensuring a positive outcome, India voluntarily committed to standards established by the Paris Club, a grouping of creditors of which India is not a member.

Developments proved no less stable in West Asia. India had been steadily improving ties with the Gulf Arab states—led by the UAE and Saudi Arabia—as well as Israel. Relations with Qatar and Turkey remained more difficult and while ties with Iran often lacked substance in terms of trade, energy, or diaspora, it retained utility for connectivity, counterterrorism, and Afghanistan-related contingencies. The Abraham Accords—brokered by the Trump Administration in the United States—fully normalized Israel's relations with several Arab countries, including the UAE, Bahrain, and Morocco. More quietly, Saudi Arabia and Israel began to cooperate. For India, this represented an opportunity of working with some of its closest regional partners on a shared agenda. It was in this backdrop that India, Israel, the UAE, and the United States established a grouping called I2U2 to deepen economic cooperation. [53]

A more dramatic consolidation of these trends revealed itself at the G20 Summit in New Delhi in September 2023. The United States, India, UAE, Saudi Arabia, and European participants agreed to an India–Middle East–Europe Corridor (IMEC). IMEC would connect India to the Gulf, Israel, and Europe through port, railways, and other infrastructure, but was subject to Saudi Arabia's normalization of ties with Israel. [54] But this heady development was overtaken by the attack on 7 October 2023 by Hamas forces in Gaza against Israeli civilian targets. The attacks, and subsequent Gaza war, put India in a predicament. New Delhi initially stood firm with Israel against terrorism and on the question of the release of Israeli hostages in Hamas custody. At the same time, it called for humanitarian corridors, provided some medical provisions to Gaza via Egypt, and reinforced the necessity of a 'two state solution'. While not derailing India's long-term